

2004



► The Alto, which was launched in September 2000, becomes India's best-selling car. In 2004-05, the company sells over 126,000 Alto cars; this beats the sales of the Maruti 800 (116,000 units) for the first time

2003

► Maruti Udyog becomes a listed company this year after an initial public offering (IPO) in June



1994



► Maruti rolls out its one-millionth vehicle from its plant in Gurgaon (now Gurugram), Haryana, in this year

SOURCE MARUTI SUZUKI INDIA LTD

changing. There's hope for the future. In the next 10 years, [more] public sector [firms] will get privatised. To me, this is all music.

AFTER 55 YEARS in the government and public sector and now private, I have no doubt in my mind that the way forward for India is to rely on the private sector. The public sector in our country, in terms of constitutional restrictions, legal structure, and irrespective of the kind of people you put in the sector, is handicapped by the entire environment. We're not an exception to that. Public sector has never functioned in any part of the world. Russia was the biggest exponent of the public sector. We saw what happened to it. Other countries like the UK, France, Japan, etc., had a public sector... everybody is getting out of it. Of course, our private sector also has a lot of blemishes. If you balance the negatives of both public and private

sectors, it comes far more in favour of the private sector.

I see a very bright future for the automobile industry for the simple reason that mobility is an essential requirement for economic progress. For the last so many decades, we haven't found a better form of mobility than the automobile, which is convenient and safe. Of course, we have to go green because the damage that's happening to the world through climate change; you have to take corrective actions. India is underpenetrated in terms of personal mobility. The entry-level segment shrinking in India is not a fear for the company because I have the option of moving to the segments that are more profitable. We have been a little late in moving to the higher segments, but that's a temporary measure. However, we will maintain our profits and market share. That's not a concern.

The consumer has trust in the brand. I am concerned by the

fact that this movement, which is happening—where the small-car market is getting squeezed and the upper market is getting better—is a direction that doesn't leave me happy. I don't like the fact that a large mass of people who for decades had an aspiration of moving up are finding their dreams going away. A country can't move on two-wheelers. It is not an efficient form of commuting—it's unsafe, it's inconvenient in terms of climate, [and] not suitable for families. We're the only country in the world where the bulk of the people travel on two-wheelers. The car industry has to move up; otherwise the whole effort to uplift the life of people will not succeed. That's why there's a very bright future for the car industry in India. **BT**

R.C. Bhargava is Chairman of Maruti Suzuki India Limited (MSIL).

Views are personal.

Compiled by Prerna Lidhoo from his statements at a media event